

Kuaishou

AI investment cycle coincides with a temporary trough for core businesses

Reiterate Rating: BUY | PO: 53.00 HKD | Price: 37.80 HKD

2Q results in-line; committed to shareholder return

2Q topline of RMB35.5bn (1% YoY) was in line with consensus, and topline growth would be 7% excluding the live streaming business. Adj. net profit of RMB3.9bn (-30% YoY, 11% margin) was in line with consensus. Kling AI revenue grew to RMB850mn, in line with consensus. Online marketing grew 4% YoY, below expectation. Live streaming fell by 13.5% YoY (in line). We estimate ecommerce commission revenue grew 5% YoY, above expectation. Co. is committed to increasing shareholder return. Co. has already spent HKD5bn in share buyback plus dividend YTD, representing 3% shareholder yield.

Outlook: weaker core businesses

We lower 3Q26/2026/27/28 adj. NP estimate by 83%/47%/24%/5%, due to weaker core businesses (see forecast details in Exhibit 1). We expect Kuaishou's 2026 topline/adj. NP to decline 3%/56% YoY, mainly because of 1) weaker consumption environment, 2) tax compliance impact on ecommerce merchants and live streaming business, and 3) high base due to subsidy policies and high ad spend from quick commerce and AI applications in 2025. We reiterate our Buy rating because we expect the pressures this year will ease in 2027, and Kling AI's momentum remains solid. We think valuation is undemanding at 4x 2027e EV/EBITDA. We lower SOTP-based PO to HKD53 from HKD63, mainly due to lower net profit estimate. Our SOTP is based on a net cash per share of HKD23 and a 30% holding company discount to the sum of: 1) HKD21 for Kuaishou's core businesses, based on 6x 2026E adj. P/E, 2) HKD22 for Kling AI, based on 35x 2026E P/S. (Exhibit 2).

Kling AI on track, watch for model upgrade

We remain optimistic for Kling AI, expecting revenue to meet consensus of RMB3.5bn in 2026. We expect near term catalyst from Kling's model upgrade, which may level up Kling revenue and ease market concern about competition. We expect Kling model may improve capability in instruction understanding, multimodality, imaging quality, agentic capability, and short play content generation. Co. has spent most of its 2026 CAPEX (RMB26bn) in 1H26, and targets to maintain positive free cash flow in 2H26.

Estimates (Dec) (CNY)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	17,716	20,645	9,011	14,888	20,565
EPS	4.02	4.69	2.06	3.40	4.70
EPS Change (YoY)	70.8%	16.6%	-56.1%	65.5%	38.1%
Consensus EPS (Visible Alpha)			3.76	4.25	4.92
Dividend / Share	0	0	0.596	0.596	0.596
Free Cash Flow / Share	5.05	2.75	(0.968)	2.62	5.55
Valuation (Dec)					
P/E	8.83x	7.24x	15.80x	9.55x	6.91x
Dividend Yield	0%	0%	1.83%	1.84%	1.84%
EV / EBITDA*	6.96x	5.61x	8.72x	5.95x	4.66x
Free Cash Flow Yield*	15.36%	8.32%	-2.95%	7.99%	16.92%

* For full definitions of *IQmethod*SM measures, see page 6.

20 August 2026

Equity

Key Changes

(CNY)	Previous	Current
Price Obj.	HK\$63.00	HK\$53.00
2026E EPS	3.83	2.06
2027E EPS	4.47	3.40
2028E EPS	4.94	4.70

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Stock Data

Price	37.80 HKD
Price Objective	53.00 HKD
Date Established	20-Aug-2026
Investment Opinion	C-1-7
52-Week Range	37.42 HKD-92.60 HKD
Mrkt Val / Shares Out (mn)	20,982 USD / 4,354.0
Market Value (mn)	164,581 HKD
Average Daily Value (mn)	254.86 USD
Free Float	75.1%
BofA Ticker / Exchange	KUASF / HKG
Bloomberg / Reuters	1024 HK / 1024.HK
ROE (2026E)	10.8%
Net Dbt to Eqty (Dec-2025A)	2.4%

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Refer to important disclosures on page 7 to 9. Analyst Certification on page 4. Price Objective Basis/Risk on page 4.

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iQprofileSM Kuaishou

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(CNY Millions)					
Sales	126,898	142,776	138,610	150,488	162,475
Gross Profit	69,292	78,549	69,837	78,226	86,239
Sell General & Admin Expense	(44,021)	(45,572)	(46,311)	(46,311)	(46,311)
Operating Profit	15,287	20,637	7,561	13,797	20,104
Net Interest & Other Income	207	(165)	(962)	(1,032)	(1,032)
Associates	NA	NA	NA	NA	NA
Pretax Income	15,494	20,472	6,599	12,765	19,072
Tax (expense) / Benefit	(150)	(1,848)	(818)	(1,276)	(1,907)
Net Income (Adjusted)	17,716	20,645	9,011	14,888	20,565
Average Fully Diluted Shares Outstanding	4,406	4,402	4,381	4,374	4,374

Key Cash Flow Statement Data

Net Income	15,353	18,626	5,781	11,488	17,165
Depreciation & Amortization	7,140	7,195	10,359	12,467	13,380
Change in Working Capital	7,510	143	1,544	2,679	3,082
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	(216)	752	4,144	4,676	5,307
Cash Flow from Operations	29,787	26,716	21,829	31,311	38,934
Capital Expenditure	(8,063)	(14,942)	(26,000)	(20,000)	(15,000)
(Acquisition) / Disposal of Investments	(29,413)	(11,636)	254	254	254
Other Cash Inflow / (Outflow)	799	322	0	0	0
Cash Flow from Investing	(36,677)	(26,256)	(25,746)	(19,746)	(14,746)
Shares Issue / (Repurchase)	0	0	0	0	0
Cost of Dividends Paid	0	0	(2,609)	(2,609)	(2,609)
Cash Flow from Financing	6,714	(125)	(2,609)	(2,609)	(2,609)
Free Cash Flow	21,724	11,774	(4,171)	11,311	23,934
Net Debt	(1,597)	1,886	8,427	(529)	(22,108)
Change in Net Debt	11,133	1,316	6,526	(8,956)	(21,580)

Key Balance Sheet Data

Property, Plant & Equipment	14,831	22,869	39,244	48,111	51,564
Other Non-Current Assets	62,173	64,086	63,083	61,495	59,407
Trade Receivables	6,674	8,127	7,185	7,800	8,422
Cash & Equivalents	12,697	11,180	4,654	13,610	35,189
Other Current Assets	43,498	58,242	58,242	58,242	58,242
Total Assets	139,873	164,504	172,407	189,258	212,824
Long-Term Debt	11,100	11,098	11,113	11,113	11,113
Other Non-Current Liabilities	6,921	6,287	6,287	6,287	6,287
Short-Term Debt	0	1,968	1,968	1,968	1,968
Other Current Liabilities	59,828	65,567	66,169	69,463	73,166
Total Liabilities	77,849	84,920	85,537	88,831	92,534
Total Equity	62,024	79,584	86,870	100,426	120,290
Total Equity & Liabilities	139,873	164,504	172,407	189,258	212,824

iQmethodSM - Bus Performance*

Return On Capital Employed	20.3%	20.8%	6.5%	11.0%	13.9%
Return On Equity	31.9%	29.2%	10.8%	15.9%	18.6%
Operating Margin	12.0%	14.5%	5.5%	9.2%	12.4%
EBITDA Margin	17.7%	19.5%	12.9%	17.5%	20.6%

iQmethodSM - Quality of Earnings*

Cash Realization Ratio	1.7x	1.3x	2.4x	2.1x	1.9x
Asset Replacement Ratio	2.0x	3.8x	3.7x	2.2x	1.5x
Tax Rate (Reported)	1.0%	9.0%	12.4%	10.0%	10.0%
Net Debt-to-Equity Ratio	-2.6%	2.4%	9.7%	-0.5%	-18.4%
Interest Cover	NA	NM	8.0x	13.4x	19.5x

Key Metrics

* For full definitions of iQmethodSM measures, see page 6.

Company Sector

Internet/e-Commerce

Company Description

Kuaishou is a leading content community and social platform in China and globally. Through short videos and live streaming on Kuaishou, users can share their lives, discover goods and services they need and showcase their talent. It has >700mn MAU and >400mn DAU, and >130mins of daily user time spent. It offers diversified services with monetization from eCommerce, online ad, live streaming, and others. Kuaishou's Kling AI, is a first tier global AI video generation application.

Investment Rationale

We rate Kuaishou at Buy. We view it as a key stock to position for AI application exposure. 1) Kuaishou has industry leading AI technology. Its Kling AI is a leading global AI video generation application. Kling AI has been ramping user and monetization fast. 2) Kuaishou has been embedding AI across its businesses and services, benefiting its content & traffic, ad and ecommerce monetization.

Stock Data

Price to Book Value

1.6x



Exhibit 1: We cut estimates significantly due to weaker live streaming, ad, eCommerce

Details of estimate revision and forecast by business line

RMBmn	2Q26A	3Q26E	2026E	2027E	2028E
Revenue	35,535	32,981	138,610	150,488	162,475
YoY	1%	-7%	-3%	9%	8%
Est. revision	0%	-10%	-6%	-5%	-3%
Livestreaming	8,690	7,946	32,466	32,466	32,466
YoY	-13%	-17%	-17%	0%	0%
Online ad	20,639	19,217	82,226	89,455	96,711
YoY	4%	-4%	1%	9%	8%
eCommerce	5,118	4,784	19,838	21,110	22,382
YoY	5%	-12%	-4%	6%	6%
Kling	850	884	3,471	6,787	10,180
YoY	240%	195%	234%	96%	50%
Adjusted NP	3,913	739	9,011	14,888	20,565
YoY	-30%	-85%	-56%	65%	38%
Margin	11%	2%	7%	10%	13%
Est. revision	0%	-83%	-47%	-24%	-5%

Source: BofA Global Research estimates

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Valuation

We lower our PO to HKD53 from HKD63, mainly due to our significant cut in net profit estimate. Our SOTP valuation is based on a net cash per share of HKD23 and a 30% holding company discount to the sum of: 1) HKD21 for Kuaishou's core business, based on 6x 2026E adj. P/E (multiple unchanged). The multiple is based on the average of China's online social and eCommerce peers, 2) HKD22 for Kling AI, based on 35x 2026E P/S (multiple unchanged). The multiple is based on the average of global AI creativity and productivity peers. Kuaishou's shareholding in Kling is 68%, based on Company's announcement on July 2. Our valuation implies a valuation of USD18bn for Kling on a standalone basis. We apply the holding company discount to factor in liquidity discount given the businesses are not listed. Our holding company discount rate of 30% is consistent with the ratio we apply in our valuation for China internet peers.

Exhibit 2: SOTP

SOTP based PO of HKD53

	FY26 Est. (USDbn)	Multiple	Valuation (USDbn)	Kuaishou's holding	Valuation (USDbn) to Kuaishou	Valuation: HKD/share	Basis
Kuaishou (ex. Kling)	2	6	12	100%	12	21	2026 P/E
Kling AI	0.5	35	18	68%	12	22	2026 P/S
Total business value					24	43	
Holding company discount					30%	30%	
Business value post discount					17	30	
Net cash					13	23	
Total valuation					30	53	

Source: BofA Global Research estimates

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Price objective basis & risk

Kuaishou (KUASF)

Our SOTP valuation is based on a net cash per share of HKD23 and 30% holding company discount to the sum of: 1) HKD21 for Kuaishou's core business, based on 6x 2026E adj. P/E. The multiple is based on the average of China's online social and eCommerce peers, 2) HKD22 for Kling AI, based on 35x 2026E P/S. The multiple is based on the average of global AI creativity and productivity peers. Kuaishou's shareholding in Kling is 68%, based on Company's announcement on July 2. Our holding company discount rate of 30% is consistent with the ratio we apply in our valuation for China internet peers. Our valuation implies a valuation of USD18bn for Kling on a standalone basis. We use HKD/USD exchange rate of 7.8.

Downside risks are: 1) Tightening regulations over live streaming ecommerce. 2) Cost impact from AI investment, 3) Competition in AI video, 4) slower revenue of Kling, or revenue miss on high expectation, 5) macro and geopolitical risks, 6) key shareholders like Tencent selling stakes, 7) impact from tax related policies which increase tax burden of merchants and hence may affect Kuaishou platform's monetization

Upside risks are: 1) beat and raise of Kling revenue, 2) higher monetization level from ecommerce merchants due to improvement in macro, competition, AI, tax policy impact, or company's commercialization products. 3) more benefits to core business commercialization from AI, 4) Kling AI model and product upgrade, 5) Kling's value unlocking.

Analyst Certification

I, Miranda Zhuang, CFA, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

APR - Internet, Media and Software Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Agora	API	API US	Daley Li, CFA
	Alibaba Group	BABA	BABA US	Joyce Ju
	Alibaba Group	BABAF	9988 HK	Joyce Ju
	Alibaba Health	ALBHF	241 HK	Miranda Zhuang, CFA
	Baidu.com	BIDU	BIDU US	Miranda Zhuang, CFA
	Baidu.com	BAIDF	9888 HK	Miranda Zhuang, CFA
	Bilibili	BILI	BILI US	Alex Liu
	Bilibili	BLBLF	9626 HK	Alex Liu
	CAR Group	CRSLF	CAR AU	Sriharsh Singh
	Coupang	CPNG	CPNG US	Ahyung Cho
	Damai Entertainment	ABPGF	1060 HK	Harry Zhuang
	Delhivery	XDVL	DELHIVER IN	Sachin Salgaonkar
	East Money	XEQTF	300059 CH	Michael Li
	Eternal	XMWRF	ETERNAL IN	Sachin Salgaonkar
	Grab Holdings	GRAB	GRAB US	Sachin Salgaonkar
	HYBE	XBGOF	352820 KS	Sun Jung Lee
	JD Health	JDHIF	6618 HK	Miranda Zhuang, CFA
	JD Industrials	XJIIF	7618 HK	Miranda Zhuang, CFA
	JD.com	JD	JD US	Joyce Ju
	JD.com	JDCMF	9618 HK	Joyce Ju
	KE Holdings	BEKE	BEKE US	Miranda Zhuang, CFA
	KE Holdings	XSQRF	2423 HK	Miranda Zhuang, CFA
	Kingdee International Software	KGDEF	268 HK	Daley Li, CFA
	Kingsoft Cloud	KC	KC US	Daley Li, CFA
	Kingsoft Cloud	KCLHF	3896 HK	Daley Li, CFA



APR - Internet, Media and Software Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Kingsoft Office	XBKOF	688111 CH	Daley Li, CFA
	Knowledge Atlas Technology	KATJF	2513 HK	Alex Liu
	Krafton	XKINF	259960 KS	Jinhan Chun
	Kuaishou	KUASF	1024 HK	Miranda Zhuang, CFA
	Life360	LIFX	360 AU	Sriharsh Singh
	Makemytrip Limited	MMYT	MMYT US	Sachin Salgaonkar
	Meitu Inc.	MEIUF	1357 HK	Harry Zhuang
	MiniMax	MNMXF	100 HK	Alex Liu
	NAVER Corporation	NHNCF	035420 KS	Ahyung Cho
	NetEase	NETTF	9999 HK	Alex Liu
	NetEase, Inc	NTES	NTES US	Alex Liu
	Paytm	XUXBF	PAYTM IN	Sachin Salgaonkar
	Plan B Media PCL	XMKTF	PLANB TB	Suppamong Iemkongaek, CFA, CMT
	Sea Limited	SE	SE US	Sachin Salgaonkar
	Seek Limited	SKLTF	SEK AU	Sriharsh Singh
	Tencent Holdings	TCTZF	700 HK	Alex Liu
	The ONE Enterprise	XUFCF	ONEE TB	Suppamong Iemkongaek, CFA, CMT
	Tongcheng Travel	TNGCF	780 HK	Joyce Ju
	Trip.com Group	TCOM	TCOM US	Joyce Ju
	Trip.com Group	TRPCF	9961 HK	Joyce Ju
	TUHU Car	XTCRF	9690 HK	Miranda Zhuang, CFA
	Vipshop Holdings	VIPS	VIPS US	Joyce Ju
	Xero Limited	XROLF	XRO AU	Sriharsh Singh
	Zip Co Limited	ZIZTF	ZIP AU	Ware Kuo
NEUTRAL				
	Chinasoft International	CFTLF	354 HK	Daley Li, CFA
	GoTo Group	GTOFF	GOTO IJ	Sachin Salgaonkar
	Hundsun Technologies	XYTGF	600570 CH	Daley Li, CFA
	Info Edge	IFOEF	INFOE IN	Sachin Salgaonkar
	JYP Entertainment	ALNNF	035900 KS	Sun Jung Lee
	Kakao Corp.	DAUCF	035720 KS	Ahyung Cho
	Kanzhun Ltd.	XLRF	2076 HK	Miranda Zhuang, CFA
	Kanzhun Ltd.	BZ	BZ US	Miranda Zhuang, CFA
	Kingsoft Corporation	KSFTF	3888 HK	Daley Li, CFA
	Maoyan Entertainment	MAOFF	1896 HK	Harry Zhuang
	Meituan	MPNGF	3690 HK	Joyce Ju
	Ming Yuan Cloud	XWTAF	909 HK	Daley Li, CFA
	NC	NCSCF	036570 KS	Jinhan Chun
	Nykaa	XQQGF	NYKAA IN	Sachin Salgaonkar
	PB Fintech	XPFXF	POLICYBZ IN	Sachin Salgaonkar
	Pinduoduo Inc.	PDD	PDD US	Joyce Ju
	REA Group	RPGRF	REA AU	Sriharsh Singh
	SM Entertainment	SMEZF	041510 KS	Sun Jung Lee
	Tencent Music	TME	TME US	Alex Liu
	Tencent Music	TCMEF	1698 HK	Alex Liu
	Urban Company	XURBF	URBANCO IN	Sachin Salgaonkar
	Weimob	WEMXF	2013 HK	Daley Li, CFA
	WiseTech Global Limited	WTCF	WTC AU	Sriharsh Singh
	YG Entertainment	XYEIF	122870 KS	Sun Jung Lee
	Yonyou Network	XYNIF	600588 CH	Daley Li, CFA
UNDERPERFORM				
	Autohome	ATHM	ATHM US	Miranda Zhuang, CFA
	Autohome	XXYZF	2518 HK	Miranda Zhuang, CFA
	DBAPPSecurity	XDBAF	688023 CH	Daley Li, CFA
	Glodon Company	XGCOF	002410 CH	Daley Li, CFA
	NavInfo	XWLHF	002405 CH	Daley Li, CFA
	Ping An Healthcare and Technology	PANHf	1833 HK	Miranda Zhuang, CFA
	Qi An Xin	XQTF	688561 CH	Daley Li, CFA
	Technology One Limited	THNOF	TNE AU	Ware Kuo
	ThunderSoft	XSTSF	300496 CH	Daley Li, CFA
	Venustech	XVCGF	002439 CH	Daley Li, CFA
	Weibo Corporation	WB	WB US	Miranda Zhuang, CFA
	Weibo Corporation	WEIBF	9898 HK	Miranda Zhuang, CFA



APR - Internet, Media and Software Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
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iQmethodSM Measures Definitions**Business Performance**

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill

Amortization

Shareholders' Equity

Sales

N/A

N/A

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

EV = Current Share Price × Current Shares + Minority Equity + Net Debt +

Other LT Liabilities

Enterprise Value

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

Market Cap = Current Share Price × Current Basic Shares

Sales

Basic EBIT + Depreciation + Amortization

iQmethodSM is the set of BofA Global Research standard measures that serve to maintain global consistency under three broad headings: Business Performance, Quality of Earnings, and validations. The key features of iQmethod are: A consistently structured, detailed, and transparent methodology. Guidelines to maximize the effectiveness of the comparative valuation process, and to identify some common pitfalls.

iQdatabase[®] is our real-time global research database that is sourced directly from our equity analysts' earnings models and includes forecasted as well as historical data for income statements, balance sheets, and cash flow statements for companies covered by BofA Global Research.

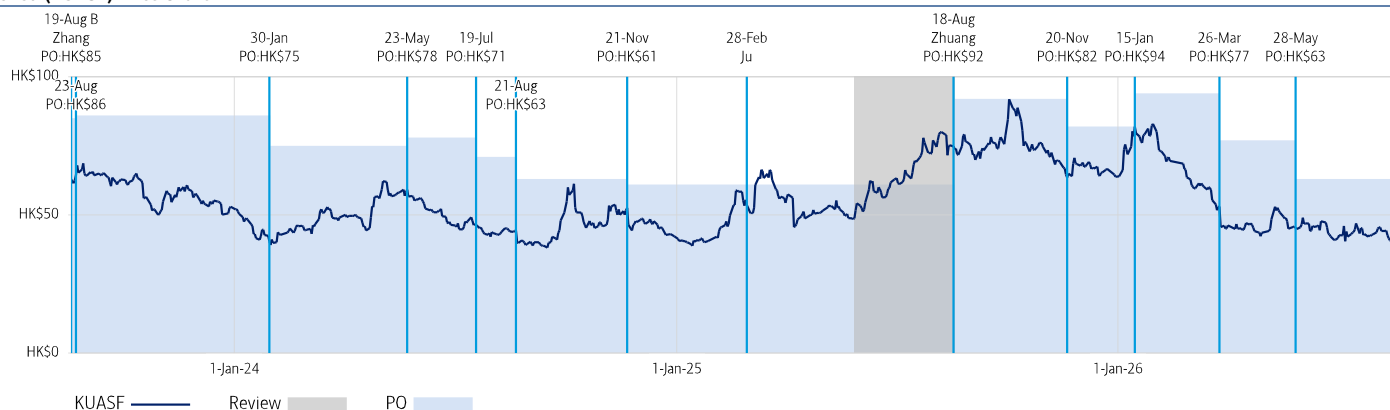
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Disclosures

Important Disclosures

Kuaishou (KUASF) Price Chart



The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Technology Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	243	60.60%	Buy	123	50.62%
Hold	87	21.70%	Hold	45	51.72%
Sell	71	17.71%	Sell	21	29.58%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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